EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>$200B) · Report Date: October 12, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-12

BUY

Composite · Valuation: BUY

Target $1813.19 · +53.3% upside

Price $1182.62

INVESTMENT HIGHLIGHTS

- **BUY** — blended target $1813.19 (+53.3% vs $1182.62); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT $1813.19	45%
FSA	Stable	Health -0.20 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.80 · 12m +43%	15%
Composite	BUY	Score +0.59 · 75% confluence	—

Valuation + technical aligned bullish.

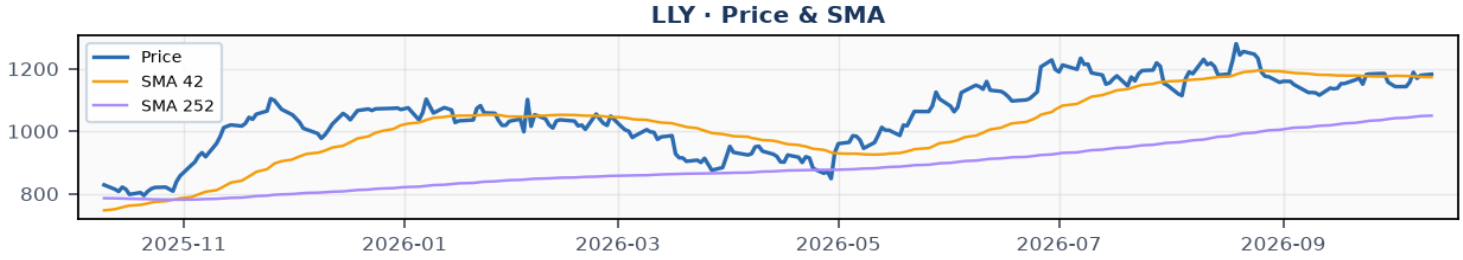
INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **BUY** rating; blended target $1813.19. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$1.05T	Shares Out.	891.7M
52-Week Range	$783.85 – $1292.65	P/E (TTM)	39.7x
P/B	31.1x	Beta	0.45
Avg Volume	2.48M	Analyst Rec.	Buy
Revenue (TTM)	$79.67B	Rev Growth	+47.7%
Op. Margin	54.2%	FCF (TTM)	$5.96B
Gross Margin	83.4%	ROE	1.0%
EV/EBITDA	26.3x	Debt/Equity	162.1%
EPS (TTM)	$29.79	Div Yield	59.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	45,043	65,179	96,269	129,136	160,965
Revenue Growth (%)	N/A	44.7%	47.7%	34.1%	24.6%
Net Income ($M)	10,590	20,640	30,485	40,893	50,972
Gross Margin (%)	81.3%	83.0%	83.4%	83.4%	83.4%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
EPS ($)	11.88	23.15	34.19	45.86	57.16
P/E (x)	99.58	51.09	34.59	25.79	20.69

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$1173.30	Short-term trend	12m Momentum	+42.8%	
SMA (252d)	$1050.03	Long-term trend	3m Momentum	+2.4%	
RSI (14d)	53.6	Momentum oscillator	Ann. Volatility	32.7%	
Trend	Bullish		Sharpe Ratio	1.09	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.5%	
Death Cross (20d)	No		Rel. Strength vs SPY	+332.2%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$1173.30, SMA252=$1050.03	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	29.7%	B&H; 39.5%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$221.47	-81.3%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d…
Comps — Blended	$1933.95	+63.5%	80%	Included in blend
Analyst consensus	$1330.14	+12.5%	20%	Included in blend
Blended target	$1813.19	+53.3%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	1.50%	16.70%	$197.50B	$221.47	-81.3%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	$358.85B	115.4x	14.1x	4.8%	+5.1%
ABBV	AbbVie Inc.	$496.77B	79.4x	18.0x	9.8%	+10.2%
PFE	Pfizer, Inc.	$161.87B	37.4x	8.4x	6.8%	+2.6%
JNJ	Johnson & Johnson	$635.56B	30.6x	18.9x	21.5%	+6.6%
LLY*	Eli Lilly and Company	$1.05T	39.7x	26.3x	33.5%	+47.7%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (47.7% YoY); High operating leverage (54.2% margin); Defensive profile (β=0.45) · Risks: Elevated leverage (D/E: 162%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.